

MARKET SURVEY:

An Outlook for the Indian Strategic Electronics Sector in Defence



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The strategic electronics (SE) sector in India has the potential to become a sunrise industry in India over the next ten years. It is estimated to grow at a compounded annual growth rate (CAGR) of 20 per cent to 30 per cent. The sector accounts for six per cent to seven per cent of the overall Indian electronics market with the government as the sole buyer and market maker for defence electronics.

Contrary to the general perception, defence electronics has undergone a paradigm shift due to the participation of private players along with public sector undertakings (PSUs), even though a major part of the market is yet to be explored as the industry requires high-quality input materials, production processes as well as testing, and the right strategy to ensure participation of micro, small and medium enterprises (MSMEs) to increase Indian content in SE.

Opportunities galore

The SE sector offers unprecedented opportunities, more so in the defence sector. As per industry estimates, electronics production in the sector in India reached ₹ 120 billion during 2012-13 and exceeded ₹ 138 billion during 2013-14, recording a growth of more than 15 per cent.

As per The International Institute for Strategic Electronics Studies, India's defence capital expense quadrupled from US\$ three billion in 2000 to US\$ 12.2 billion in 2010, making it the sixth largest spender on defence worldwide during the same period. It is expected that India's US\$ 12 billion defence market will continue to grow, and capital expenses are expected to reach between US\$ 18 billion and US\$ 20 billion.

India is the largest importer of defence equipment, importing thrice as much as China and Pakistan each. The volume of

